JH $10M IUL vs Same Index With No Insurance Charges

Same bank financing | Same 14% cap / 0% floor | Only difference: $1.8M in IUL charges | 3 historical S&P; windows

Option A — JH $10M IUL (as quoted)

• Bank finances $6,347,244 in premiums over 12 years • Index credits: 14% cap / 0% floor (same as Nasdaq account) • John Hancock deducts $1,798,942 in charges over 20 years • Bank loan repaid at Year 21 ($9,196,929) • $200,000/yr distributions from Year 22 (tax-free) • $10M death benefit from Day 1

Option B — Pure 14%/0% Index (no insurance)

• Same bank financing — exact same $6,347,244 over 12 years • Same index credits: 14% cap / 0% floor • ZERO charges — no COI, no admin, no premium load • Same bank loan repaid at Year 21 ($9,196,929) • Same $200,000/yr distributions from Year 22 • NO death benefit — pure investment only

1. SUMMARY SCORECARD — THREE HISTORICAL WINDOWS

Scenario	Years	Yr 20 IUL Value	Yr 20 Index Value	Yr 21 Net After Loan (IUL)	Yr 21 Net After Loan (Index)	Yr 30 IUL	Yr 30 Index	Index Wins by @ Yr 30
SCENARIO A	2005–2024	$19,845,020	**$24,504,606**	$12,070,643	**$17,103,668**	$19,828,373	**$29,897,243**	**$10,068,871**
SCENARIO B	2003–2022	$18,130,424	**$22,306,471**	$11,439,826	**$16,232,448**	$19,979,948	**$30,157,440**	**$10,177,492**
SCENARIO C	2000–2019	$16,460,439	**$20,485,308**	$9,536,043	**$14,156,322**	$17,043,365	**$27,363,624**	**$10,320,259**

SCENARIO A: 2005–2024 — Best — GFC + COVID recovery

Yr 21 net (IUL): $12,070,643	**Yr 21 net (Index): $17,103,668**	Yr 30 IUL: $19,828,373	**Yr 30 Index: $29,897,243**	**Index advantage @Yr30: $10,068,871**

Yr	Age	Cal	S&P;	Credited	JH IUL Value	JH Charge Deducted	Pure Index Value	Charge = $0	Index Advantage
5	49	2009	**23.4%**	**14.0%**	$3,096,945	**$65,708**	**$3,613,823**	**$0**	**$516,878**
10	54	2014	11.4%	**11.4%**	**$7,695,310**	**$107,403**	**$9,133,804**	**$0**	**$1,438,494**
15	59	2019	**28.9%**	**14.0%**	**$11,932,336**	**$85,034**	**$14,508,694**	**$0**	**$2,576,358**
20	64	2024	**23.3%**	**14.0%**	**$19,845,020**	**$52,390**	**$24,504,606**	**$0**	**$4,659,586**
21	65	2025	7.3%	**7.3%**	**$12,070,643**	**$31,929**	**$17,103,668**	**$0**	**$5,033,025**
22	66	2026	7.3%	**7.3%**	**$12,721,577**	**$33,748**	**$18,157,231**	**$0**	**$5,435,654**
25	69	2029	7.3%	**7.3%**	**$14,954,880**	**$43,858**	**$21,804,275**	**$0**	**$6,849,395**
30	74	2034	7.3%	**7.3%**	**$19,828,373**	**$62,085**	**$29,897,243**	**$0**	**$10,068,871**
35	79	2039	7.3%	**7.3%**	**$26,698,991**	**$67,097**	**$41,423,739**	**$0**	**$14,724,748**

SCENARIO B: 2003–2022 — Middle — Dot-com recovery through COVID

Yr 21 net (IUL): $11,439,826	**Yr 21 net (Index): $16,232,448**	Yr 30 IUL: $19,979,948	**Yr 30 Index: $30,157,440**	**Index advantage @Yr30: $10,177,492**

Yr	Age	Cal	S&P;	Credited	JH IUL Value	JH Charge Deducted	Pure Index Value	Charge = $0	Index Advantage
5	49	2007	3.5%	**3.5%**	$3,208,666	**$65,708**	**$3,719,570**	**$0**	**$510,904**

Yr	Age	Cal	S&P;	Credited	JH IUL Value	JH Charge Deducted	Pure Index Value	Charge = $0	Index Advantage
10	54	2012	13.4%	13.4%	$7,183,393	$107,403	$8,501,920	$0	$1,318,527
15	59	2017	19.4%	14.0%	$12,435,448	$85,034	$15,056,233	$0	$2,620,784
20	64	2022	-19.4%	0.0%	$18,130,424	$52,390	$22,306,471	$0	$4,176,047
21	65	2023	24.2%	14.0%	$11,439,826	$31,929	$16,232,448	$0	$4,792,622
22	66	2024	23.3%	14.0%	$12,807,653	$33,748	$18,304,991	$0	$5,497,338
25	69	2027	7.3%	7.3%	$15,061,304	$43,858	$21,986,964	$0	$6,925,660
30	74	2032	7.3%	7.3%	$19,979,948	$62,085	$30,157,440	$0	$10,177,492
35	79	2037	7.3%	7.3%	$26,914,874	$67,097	$41,794,327	$0	$14,879,453

SCENARIO C: 2000–2019 — Worst — Dot-com crash + GFC

Yr 21 net (IUL): $9,536,043	**Yr 21 net (Index): $14,156,322**	Yr 30 IUL: $17,043,365	**Yr 30 Index: $27,363,624**	**Index advantage @Yr30: $10,320,259**

Yr	Age	Cal	S&P;	Credited	JH IUL Value	JH Charge Deducted	Pure Index Value	Charge = $0	Index Advantage
5	49	2004	9.0%	9.0%	$3,039,513	$65,708	$3,557,847	$0	$518,334
10	54	2009	23.4%	14.0%	$6,589,723	$107,403	$7,861,894	$0	$1,272,171
15	59	2014	11.4%	11.4%	$11,771,719	$85,034	$14,389,976	$0	$2,618,256
20	64	2019	28.9%	14.0%	$16,460,439	$52,390	$20,485,308	$0	$4,024,869
21	65	2020	16.3%	14.0%	$9,536,043	$31,929	$14,156,322	$0	$4,620,279
22	66	2021	26.9%	14.0%	$10,637,341	$33,748	$15,938,207	$0	$5,300,867
25	69	2024	23.3%	14.0%	$12,999,474	$43,858	$20,025,374	$0	$7,025,900
30	74	2029	7.3%	7.3%	$17,043,365	$62,085	$27,363,624	$0	$10,320,259
35	79	2034	7.3%	7.3%	$22,732,414	$67,097	$37,815,205	$0	$15,082,791

2. THE ANSWER — WHAT DO YOU ACTUALLY GIVE UP FOR THE INSURANCE WRAPPER?

	JH IUL	Pure 14%/0% Index (no charges)	Cost of Insurance Wrapper
Year 20 gross value (best case)	$19,845,020	$24,504,606	$4,659,586 less
Year 20 gross value (worst case)	$16,460,439	$20,485,308	$4,024,869 less
Year 21 net after loan (best)	$12,070,643	$17,103,668	$5,033,025 less
Year 30 value (best)	$19,828,373	$29,897,243	$10,068,871 less
Year 30 value (worst)	$17,043,365	$27,363,624	$10,320,259 less
Distributions ($200k/yr)	$200,000/yr tax-free	$200,000/yr (taxable)	IUL tax-free
Death benefit	$10M from Day 1, growing permanently	$0 — no coverage	IUL has this
Loan collateral protection	0% floor prevents underwaterscenario	No floor protection on financing	IUL has this

THE ANSWER: Removing the $1.8M insurance wrapper gives you $4–5M MORE at Year 21 and $10M+ MORE at Year 30 in pure investment value — in every historical scenario tested. That is what you pay for: (1) $10M death benefit from Day 1 that grows permanently, (2) tax-free distributions (vs taxable for a pure index), and (3) the 0% floor protecting your collateral from going underwater in crashes. If you do NOT need the $10M death benefit and are comfortable with taxable distributions, a pure 14%/0% index with the same financing beats the IUL by $10M+ at Year 30.

S&P; 500 historical returns used with 14% cap / 0% floor applied. JH charges from Annual Account Summary. Bank loan repayment $9,196,929 at Year 21 (from JH illustration). Post-2024 returns use 25-year historical average as proxy. Not financial advice.